RETAIL PROMOTIONS & CUSTOMER ANALYTICS

Where Brightbasket's promotion money actually works

Two years of shopping by 2,500 loyalty households: displays, mailers, campaigns and coupons

Prepared for the Head of Marketing · by Jayanth

dunnhumby Complete Journey data

THE BUSINESS QUESTION

We spend heavily on promotions, but can't yet say which ones pay off

1

Which promotions create extra sales?

Displays and mailer slots, compared with each product's normal week

2

Did the campaigns change behaviour?

Targeted households vs similar ones that weren't targeted, before and during

3

Who should next quarter's money go to?

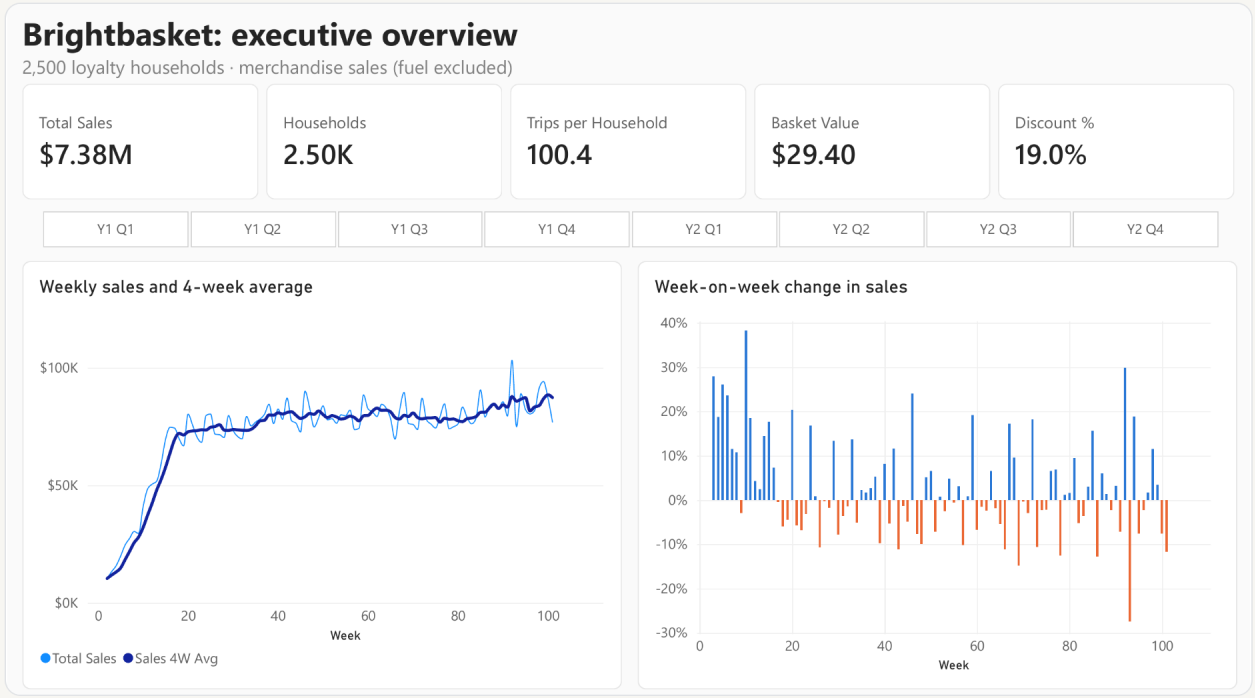
Customer segments, churn risk, and who actually uses coupons

Extra sales = what a product sold in a promo week minus what it normally sells in that store at that time of year.

2.6M purchase lines · 36.8M promotion records · 30 campaigns · 2 years

WHERE SALES COME FROM

$7.38M in sales = 2,500 households × 100 trips × $29.40 a trip



Steady after the ramp-up

Weeks 1–16 rise only because households were still joining. The store grew 6.7% like-for-like.

19% goes back as discount

Nearly $1 in $5. That's the cost promotions have to justify.

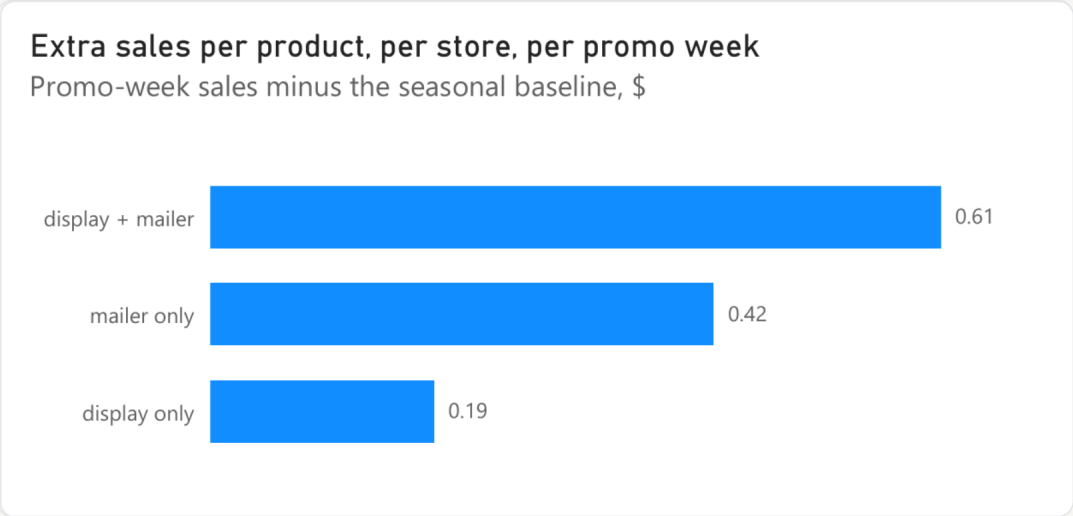
Soft drinks –5.9%

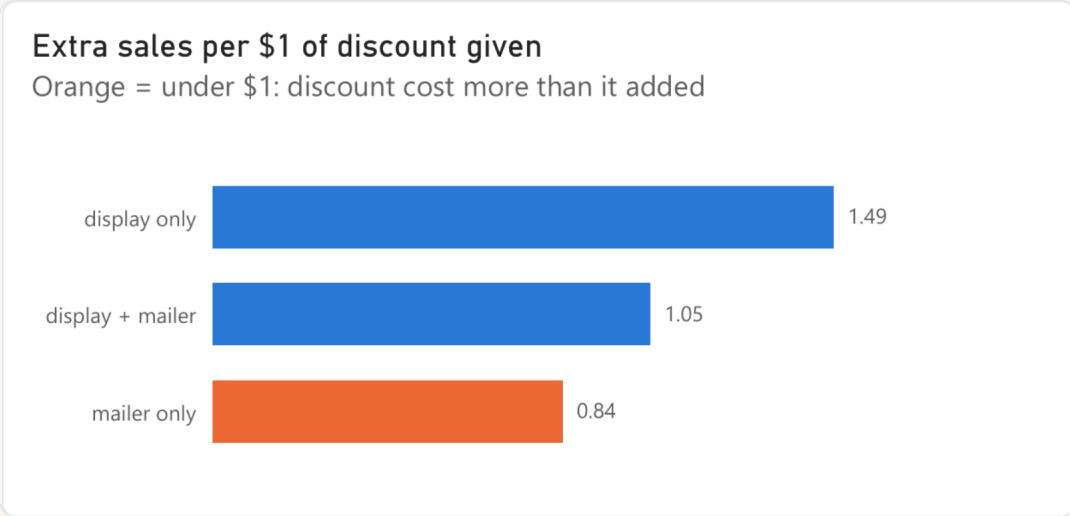
Our biggest category is the only big one shrinking.

Merchandise only (fuel removed) · growth compares weeks 17–49 of each year · Power BI pages 1–2

WHAT PROMOTIONS REALLY DO

Mailers bring the volume, but displays bring the cheapest extra sales





Front page $0.77 a week vs $0.26 for interior pages, which still take half the mailer slots.

Mailer-only gave $192.9K of discount for $161.8K of extra sales, and ~10% was taken from similar items.

Displays grow the whole shelf: the sub-category rose 12% more than the promoted item.

Extra sales = promo week minus the product's seasonal baseline · placebo test on fake promos gives ~$0 · Power BI page 3

CAMPAIGN IMPACT

We can't show the campaigns changed spending, so the next step is a proper test

Campaign	Compared with	Effect / week	95% range	Pre-trend
Type A	Never targeted	+$2.07	0.55 to 3.58	Failed
Type A	Targeted at other times	+$0.13	−1.42 to 1.67	Failed
Type B	Never targeted	−$0.26	−1.78 to 1.27	Passed
Type B	Targeted at other times	−$0.79	−2.62 to 1.04	Failed
Type C	Never targeted	+$0.83	−2.21 to 3.86	Failed
Type C	Targeted at other times	+$2.61	−1.26 to 6.47	Failed

5 of 6 fail the check

Targeted households were already changing before the campaign started, so the comparison isn't fair.

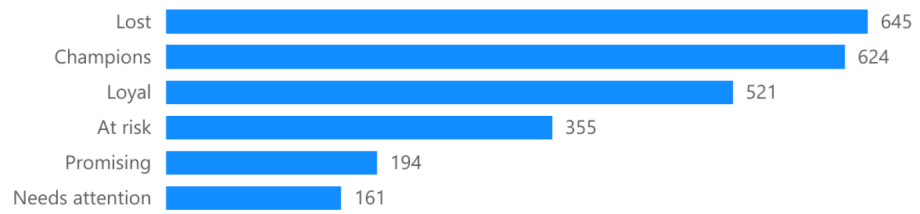
The one fair test: no effect

Type B, −$0.26 a week, and its range includes zero.

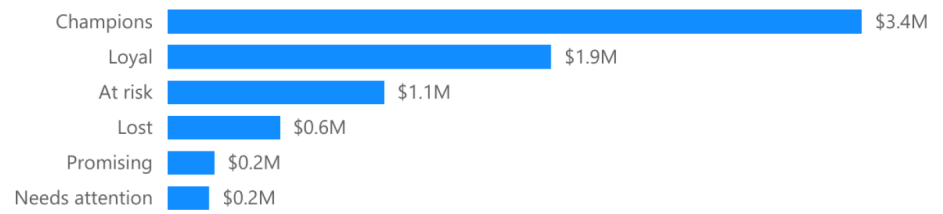
CUSTOMER SEGMENTS

355 at-risk households worth $1.07M are the best place for coupons

Households by segment
RFM segments: how recently, how often, how much each household spends



Two-year sales by segment
At risk: frequent shoppers who have gone quiet, worth $1.07M



$1.07M
spent by at-risk households: once frequent, now gone quiet

6.7×
more likely to stop shopping if flagged, in a backtest

36% vs 20%
coupon redemption: Champions vs at-risk households

RFM = recency, frequency, money · redemption among targeted households · Power BI page 4

RECOMMENDATION

Four moves for next quarter

1. Put a display next to more mailer items

20% of mailer-only weeks: +$2,670 sales per 1,000 households a year, $2.19 per extra discount dollar.

2. Don't chase the front page

Upgrading an interior slot returns only $0.73 per extra discount dollar.

3. Aim coupons at the 355 at-risk households

$80.9K a year walks out with them; saving 1% covers the coupons.

4. Test #3 before rolling it out

About 6,700 households for 8 weeks + 4 of follow-up, run chain-wide.

Dollars from 2,500 loyalty households over 2 years; scale by the chain's households (in thousands)